6. Income Taxes

Consolidated income tax expense consists of the following:

	2000	1999	1998
Currently payable:			
Federal	$17,447	$12,860	$13,670
State	3,789	2,921	3,198
	21,236	15,781	16,868
Deferred:			
Federal	1,983	3,707	3,096
State	322	701	762
	2,305	4,408	3,858
Total income tax expense	$23,541	$20,189	$20,726

The effective income tax rates of 37.3% in 2000, 36.8% in 1999 and 37.1% in 1998 differ from the federal statutory rates for the following reasons:

	2000	1999	1998
Statutory federal income tax rate	35.0%	35.0%	35.0%
State income taxes, net of federal income tax benefit	4.2	4.3	4.6
Tax-free investment income and other	(1.9)	(2.5)	(2.5)
	37.3%	36.8%	37.1%

Deferred tax liabilities (assets) are comprised of the following at December 31:

	2000	1999
Property and equipment, principally due to differences in depreciation	$ 40,076	$ 37,830
Limited partnership investments, principally due to differences in tax basis	1,747	1,672
Other	697	704
Gross deferred tax liabilities	42,520	40,206
Estimated liability for claims, principally due to differences in timing of recognition of expense	(1,660)	(1,555)
Vacation liability, principally due to differences in timing of recognition of expense	(2,424)	(2,145)
Allowance for bad debts, principally due to differences in timing of recognition of expense	(405)	(587)
Deferred compensation, principally due to differences in timing of recognition of expense	(802)	(762)
Other	(1,472)	(1,705)
Gross deferred tax assets	(6,763)	(6,754)
	$ 35,757	$ 33,452